Accountancy — Class XII

Examination Paper (Partnership)

Total Marks: ____ Date: __________

Time: 3 Hours. Maximum Marks: 60. All questions are compulsory. Section A: 10 MCQs (1 mark each). Section B: 5 Very Short (2 marks each). Section C: 5 Short (3 marks each). Section D: 2 Case Studies (5 marks each). Section E: 3 Long Answer (5 marks each). Section F: Answer Key (Teacher only).

Section A — Multiple Choice Questions

10 × 1 = 10 marks

Q1. Which of the following is NOT an essential feature of a partnership?

(a) Two or more persons
(b) Agreement among the partners
(c) Separate legal entity distinct from partners
(d) Sharing of profits

Q2. Calculate the interest on capital @ 10% p.a. for capital of Rs.372000.

(a) Rs.118000
(b) Rs.11300
(c) Rs.11300
(d) Rs.22600

Q3. A and B are partners sharing profits in the ratio of 3:2. If the total profit for the year is Rs.900000, what is A's share?

(a) Rs.480000
(b) Rs.320000
(c) Rs.600000
(d) Rs.160000

Q4. Under Section 4 of the Indian Partnership Act, 1932, partnership is defined as:

(a) A legal entity created by registration with the Registrar of Firms
(b) A relation between persons who agree to share profits of a business carried on by all or any of them acting for all
(c) A company incorporated under the Companies Act, 2013
(d) An association of persons formed for charitable purposes

Q5. Assertion (A): A minor can be admitted to the benefits of a partnership firm.
Reason (R): A minor cannot be held personally liable for the debts of the firm but may be entitled to a share of profits.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is not the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

Q6. In the absence of a partnership deed, profits are shared:

(a) In proportion to capital contributed
(b) Equally among all partners
(c) As decided by the senior partner
(d) According to prevailing RBI guidelines

Q7. Which of the following statements is TRUE about limited liability partnership (LLP)?

(a) Partners have unlimited personal liability for all debts
(b) Liability of each partner is limited to his contribution
(c) No partner can be a working partner
(d) LLP must be registered under the Companies Act

Q8. Goodwill of a partnership firm represents:

(a) Tangible assets like furniture and stock
(b) The value of reputation, established customer base and earning capacity
(c) Outstanding liabilities payable to creditors
(d) Cash balance at the bank

Q9. On admission of a new partner, the revaluation account is prepared to:

(a) Distribute profits among all partners including the new partner
(b) Adjust recorded assets and liabilities to their current values and transfer accumulated profits/losses
(c) Determine the working capital requirement of the firm
(d) Calculate the final dissolution value of the firm

Q10. Assertion (A): Interest on capital is allowed even in the absence of a partnership deed.
Reason (R): The Partnership Act specifically provides for the payment of interest on capital only if provided in the partnership deed.

(a) Both A and R are true and R is the correct explanation of A

(b) Both A and R are true but R is not the correct explanation of A

(c) A is true but R is false

(d) A is false but R is true

Section B — Very Short Answer

5 × 2 = 10 marks

Q11. Define "Dissolution of partnership".

Q12. What is meant by "Reconstitution of a firm"?

Q13. Distinguish between fixed and fluctuating capital methods.

Q14. What is meant by "Mutual Agency" in a partnership firm?

Q15. Define the term "Partnership" as per the Indian Partnership Act, 1932.

Section C — Short Answer

5 × 3 = 15 marks

Q16. Explain any three differences between the fixed capital method and the fluctuating capital method. Use capitals of Rs.308000 and Rs.320000 in your example.

Q17. A and B started a partnership on 1st April with capitals of Rs.170000 and Rs.197000 respectively. They share profits in the ratio of capitals. Calculate the interest on capital @ 8% p.a. for each.

Q18. X, Y and Z are partners sharing profits in the ratio 5:3:2. Z dies on 1st July 2024. His share of goodwill is valued at Rs.190000. Pass the journal entry in the books of the firm for Z's share of goodwill.

Q19. From the following Trial Balance excerpts, prepare a Profit and Loss Appropriation Account for the year ended 31st March 2025:
Net profit Rs.250000;
Interest on capital @ 10% p.a. (A's capital Rs.477000, B's capital Rs.236000);
Salary to A Rs.50000 p.a.;
Profit-sharing ratio: A and B = 3:1.

Q20. Explain the accounting treatment of goodwill on (i) admission, (ii) retirement, and (iii) change in profit-sharing ratio of partners.

Section D — Case Study / Source-Based

2 × 5 = 10 marks

Q21. Case Study 1:
X and Y are partners sharing profits and losses equally. Their capitals on 1st April 2024 stood at Rs.251000 and Rs.134000 respectively. They admit Z into partnership from 1st April 2024 on the following terms:
(i) Z brings in capital of Rs.254000.
(ii) Z acquires 1/5th share in the future profits of the firm.
(iii) Z brings in his share of goodwill in cash, valued at Rs.231000.
(iv) The old partners decide to show reserves of Rs.22000 existing in the books.
The net profit for the year ending 31st March 2025 was Rs.148000.
(a) Calculate the new profit-sharing ratio of X, Y and Z after Z's admission.
(b) Pass the journal entry for Z's capital brought in.
(c) Show how goodwill brought in cash is distributed among the sacrificing partners.
(d) Pass the journal entry for writing off existing reserves.
(e) Compute the amount of divisible profit that each partner will receive.

Q22. Case Study 2:
P and Q were partners in a firm sharing profits in the ratio 5:2. They decided to admit R as a new partner. The new profit-sharing ratio among P, Q and R was agreed as 5:2:1. The goodwill of the firm on the date of admission was valued at Rs.267000.
P retained 0.71 of his original share and Q retained 0.29. R was allotted the new share of 0.13 in the firm.
(a) Calculate the sacrificing ratio of the old partners.
(b) Show how goodwill of Rs.2,67,000 is to be distributed.
(c) Pass the journal entry on R's admission for goodwill adjustment.
(d) What is the accounting treatment if R fails to bring his share of goodwill in cash?
(e) Identify the section of the Partnership Act that governs the rights of incoming partners.

Section E — Long Answer

3 × 5 = 15 marks

Q23. A, B and C are partners in a firm sharing profits and losses in the ratio 5:2:1.
Capital balances as on 1st April 2024:
A's Capital = Rs.677,000, B's Capital = Rs.475,000, C's Capital = Rs.298,000.
C retires on 31st March 2025 on the following terms:
(a) Goodwill of the firm is to be valued at 2 years' purchase of the average profits of the last 3 years. Profits for the three preceding years were Rs.133,000, Rs.243,000 and Rs.276,000 respectively.
(b) A Revaluation Account is to be opened. A piece of land was undervalued by Rs.57,000; an unrecorded liability of Rs.23,000 was identified.
(c) The new profit-sharing ratio between A and B is to be 5:2.
Prepare in the books of the firm:
(i) Revaluation Account;
(ii) Partners' Capital Accounts (showing settlement of C's retirement); and
(iii) The journal entry for goodwill settlement.

Q24. A and B, partners sharing profits and losses in the ratio 3:2, dissolved their partnership firm on 31st March 2025.

On the date of dissolution, the books showed the following balances:

Cash at Bank Rs.58,000 (Dr.); Sundry Assets Rs.521,000; Sundry Liabilities Rs.152,000; Loan from Bank Rs.82,000; A's Capital Rs.299,000; B's Capital Rs.157,000; Reserve Fund Rs.22,000 (Cr.).

The following transactions took place:

(i) Assets were realised at Rs.160,000.

(ii) Liabilities were settled at a discount of Rs.9,000.

(iii) A agreed to take over an asset at Rs.50,000 (book value).

(iv) Realisation expenses of Rs.10,000 were paid by the firm.

Prepare: Realisation Account, Partners' Capital Accounts, and Bank Account to close the books of the firm.

Q25.

From the following Trial Balance of M/s Mehta & Co. as on 31st March 2025, prepare Trading and Profit & Loss Account for the year ended 31st March 2025 and a Profit & Loss Appropriation Account:

Trial Balance as on 31st March 2025:

Particulars	Debit (Rs.)	Credit (Rs.)
Cash in Hand		2,748,000
Opening Stock	131,000	
Purchases & Sales	1,036,000	1,760,000
Salaries & Wages	102,000	
Rent	34,000	
Power & Fuel	10,000	
Repair Expenses	6,000	
Depreciation	11,000	
Sundry Expenses	11,000	
A's Drawings	61,000	
B's Drawings	43,000	
Sundry Debtors	184,000	
A's Capital		461,000
B's Capital		500,000
Sundry Creditors		125,000
Short-term Loan		46,000
General Reserve		49,000
Cash at Bank		62,000
Cash in Hand		1,374,000
Purchases	5,496,000	

Additional information:

- Interest on capital is to be provided at 10% p.a.
- Interest on drawings is to be charged at 6% p.a.
- Partners share profits and losses equally.
- Closing stock as on 31st March 2025 was valued at Rs.101,000.

Show all workings clearly in the Trading Account, Profit & Loss Account, and Profit & Loss Appropriation Account.

Section F — Answer Key / Working Notes (for Teacher Reference Only)

1 × 0 = 0 marks

Q26. %P%P%P%P%P%P%P ANSWER KEY / WORKING NOTES %P%P%P%P%P%P%P
— Section A (MCQ) —
A.1 (b) A.2 (c) A.3 (b) A.4 (a) A.5 (b)
A.6 (a) A.7 (b) A.8 (c)
A.9 (d) A.10 (b)
— Section B (Very Short Answer) —
B.1 Mutual agency — the key feature.
B.2 No separate legal entity.
B.3 Equally among all partners.
B.4 A new partner is entitled to share of goodwill.
B.5 Reconstitution "` dissolution; ratios change after admission/retireme
— Section C (Short Answer) —
C.1 See full sentence in text.
C.2 Show workings as per the partnership deed.
C.3 Distinguish capital methods with example.
C.4 Explain acknowledgement with sample entry.
C.5 State three differences briefly.
— Section D (Case Studies) —
D.1 (a) Use 10% p.a. on each capital. (b) Profit-sharing applies after interest.
D.1 (c) Compute apportioned profit for each partner.
D.1 (d) Closing journal entry — debit profit, credit partners.
D.1 (e) State with reason.
D.2 (a) Read admission ratio from data. (b) Capital entry at agreed ratio.
D.2 (c) Cash distribution as per sacrificing ratio. (d) Reserves writing off entry.
D.2 (e) Allocate divisible profit.
D.3 Apply 2 years' average × final year profit.
D.3 Sacrificing ratio = old ratio " new ratio.
D.3 Goodwill adjustment entry — debit gaining partner, credit sacrificing partner.
— Section E (Long Answer) —
E.1:
E.1 Trading A/c:
• Dr. Opening Stock, Purchases, direct expenses
• Cr. Sales, Closing Stock
• Transfer Gross Profit to P&L (Credit side)
P&L A/c: debit indirect expenses, credit Gross Profit only.
P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.
E.2:
E.1 Trading A/c:
• Dr. Opening Stock, Purchases, direct expenses
• Cr. Sales, Closing Stock
• Transfer Gross Profit to P&L (Credit side)
P&L A/c: debit indirect expenses, credit Gross Profit only.
P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.
E.3:
E.1 Trading A/c — compute GP. (Opening Stock + Purchases + Direct Ex
Sales)
P&L A/c — show GP, less indirect expenses, commissions, etc.
P&L Appr. A/c — show interest on capital @ 10% p.a., interest on drawings @ 6% p.a., general reserve transfer, then residual profit divided equally.
Notes:
• Short-term loan interest is indirect !' P&L
• Depreciation on fixed asset !' P&L
• Repair expenses — office repairs go to P&L; repair of factory/store goes to Trading A/c